requires, I've long been convinced that mutual funds are the sensible course for 95 percent of investors.

Is that because I'm in the mutual fund business? No, I'm not hustling. Running mutual funds may be my line of work, but I am not trying to drum up business. I just think most people will do better in funds than on their own.

Considering the time, discipline, skills, knowledge, resources, and personality that investing demands, mutual funds are the sensible course for 95 percent of the public.

Most fundamentally, mutual funds give you instant diversification, which means they are the *only* way to go if you don't have at least $100,000 to put into the market. Diversification, of course, lowers risk. The more concentrated a portfolio, by sector and stocks, the more you can hit it big if your call is right. If it's wrong, it's you that will get hit. The biggest risk takers usually invest on their own, because then they can put all their chips on just a handful of numbers. Again, know thyself.

Mutual funds, as just noted, also allow you to diversify in many directions—to have your money with growth and value managers, in small and large companies, and in foreign companies. This kind of diversification also lowers risk and smooths out returns year to year, and in the long run provides better returns.

But the main argument for mutual funds, to my mind, is that your money is managed by a full-time professional. Over the years I've been very impressed with the people in the mutual fund industry. It's a classy bunch of intelligent, well-educated, hardworking, and dedicated people. (I'm the only one who doesn't take the job seriously.)